Quillwood Credit Partners
Origination and credit | Internal working paper

Portfolio Concentration Limits Note

Sub-sector, state and borrower concentration limits, with utilisation at 30 June 2026

Prepared for the Investment Committee and credit staff

Set by the Risk Committee

Version 1.0, effective 1 July 2026

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Date: 1 July 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Document details

1. Purpose and scope

This note sets the portfolio concentration limits that apply to all new and increased commitments made by Quillwood Credit Partners. It sits alongside the credit policies and is set by the Risk Committee. It also records utilisation of each limit at 30 June 2026 and the pro forma test that every credit paper must contain.

The limits apply to the performing lending book. They are expressed as a share of total committed facility limits, not drawn balances. A facility that is committed but undrawn therefore counts in full.

The healthcare and aged care limit of 20% is the same limit that appears in the Corporate Lending Policy. If the two documents ever differ, the lower limit applies until the Risk Committee resolves the inconsistency.

2. Definitions and measurement

- Book commitments means the total committed facility limits across all performing facilities. At 30 June 2026 this was A$2,776.8M across 40 performing facilities.
- Category exposure means the total committed facility limits in a sub-sector, a state or a borrower group.
- Utilisation means category exposure divided by book commitments, shown as a percentage.
- Single borrower group means a borrower and all entities it controls or that are related to it for credit purposes.
- Top 10 borrowers means the ten borrower groups with the largest committed exposure, ranked on the date of measurement.
- Amber means utilisation at or above 90% of the relevant limit but not above the limit. Breach means utilisation above the limit.

3. Concentration limits

The limits below are maximum shares of book commitments. The amber trigger is 90% of each limit. The limit for any other sub-sector and the limit for any other state each apply to every such sub-sector or state separately, not to them in aggregate.

Category	Limit	Amber trigger
Build-to-rent	22%	19.8%
Healthcare and aged care	20%	18.0%
Construction	15%	13.5%
Investment	15%	13.5%
Transport and logistics	10%	9.0%
Childcare and education	8%	7.2%
Land subdivision	7%	6.3%
Any other sub-sector	12%	10.8%
NSW	42%	37.8%
QLD	30%	27.0%
VIC	30%	27.0%
Any other state	15%	13.5%
New Zealand	5%	4.5%
Single borrower group	10%	9.0%
Top 10 borrowers	45%	40.5%

Concentration limits and amber triggers, as a share of book commitments

4. Status levels and escalation

Each limit has three status levels, and each level carries a defined response.

- Green: utilisation below 90% of the limit. No special approval is needed beyond the normal credit approval process.
- Amber: utilisation within 90% of a limit. Any new or increased commitment that takes a category into amber, or adds to a category already in amber, requires sign-off from the Head of Portfolio Risk before the paper goes to the Investment Committee.
- Breach: utilisation above the limit. A commitment that would cause or deepen a breach requires an exception approved by the Investment Committee (IC exception).

An IC exception is specific to the transaction and does not raise the limit. Portfolio Risk reports every exception, and every category in amber, to the Risk Committee at its next meeting.

5. Pro forma utilisation requirement

Every credit paper for a new or increased commitment must show pro forma utilisation for each category the transaction touches. Pro forma utilisation is calculated as:

(current committed exposure in the category plus the new commitment) divided by (book commitments plus the new commitment).

The new commitment is the full amount of a new facility, or the amount of the increase for an existing facility. The paper must show the result for the sub-sector, the state, the single borrower group and the top 10 borrowers. It must also show the resulting status (green, amber or breach) for each. For the top 10 test, the paper must reflect any change in ranking caused by the commitment.

Papers that do not contain pro forma utilisation are returned without review. Portfolio Risk supplies the current category exposures and book commitments on request, so there is no reason for a paper to omit them.

6. Utilisation at 30 June 2026

The tables below show committed exposure and utilisation at 30 June 2026 against the limits in section 3. Book commitments were A$2,776.8M across 40 performing facilities. No pipeline transaction has been included in any figure.

6.1 Sub-sectors

Sub-sector	Exposure (A$M)	Utilisation	Limit	Share of limit used
Build-to-rent	419.4	15.1%	22%	68.6%
Healthcare and aged care	371.0	13.4%	20%	67.0%
Investment	231.9	8.4%	15%	56.0%
Childcare and education	167.8	6.0%	8%	75.0%
Transport and logistics	165.8	6.0%	10%	60.0%
Construction	157.4	5.7%	15%	38.0%
Land subdivision	127.0	4.6%	7%	65.7%

Sub-sector utilisation at 30 June 2026

The seven sub-sectors above total A$1,640.3M. The balance of A$1,136.5M sits in other sub-sectors, each tested separately against the 12% limit in the monthly portfolio report.

6.2 States

State	Exposure (A$M)	Utilisation	Limit	Share of limit used
NSW	1,014.9	36.5%	42%	86.9%
QLD	661.2	23.8%	30%	79.3%
VIC	543.0	19.6%	30%	65.3%
SA	299.1	10.8%	15%	72.0%
ACT	163.8	5.9%	15%	39.3%
New Zealand	94.8	3.4%	5%	68.0%

State and New Zealand utilisation at 30 June 2026

State exposures sum to the full book of A$2,776.8M.

6.3 Borrower concentration

Measure	Utilisation	Limit	Share of limit used
Largest borrower group	5.1%	10%	51.0%
Top 10 borrowers	39.1%	45%	86.9%

Borrower concentration at 30 June 2026

7. Observations

No category was in amber or in breach at 30 June 2026. Three measures are, however, close enough to their amber triggers that new commitments need careful pro forma testing.

- NSW is at 36.5% against an amber trigger of 37.8%, a margin of 1.3 percentage points. On the 30 June book, a new NSW commitment of about A$55.8M would take NSW to the amber trigger.
- Top 10 borrowers is at 39.1% against an amber trigger of 40.5%, a margin of 1.4 percentage points. Additions to any of the larger borrower groups will use this margin quickly.

- New Zealand is at 3.4% against a limit of 5% and an amber trigger of 4.5%. On the 30 June book, a new New Zealand commitment of about A$31.6M would reach the amber trigger. The limit is small in dollar terms, so a single mid-sized facility can move the status.

Childcare and education is the sub-sector closest to its trigger, at 75.0% of its 8% limit. Its amber trigger of 7.2% leaves 1.2 percentage points of room. Build-to-rent and healthcare are the largest sub-sectors but sit comfortably below their triggers of 19.8% and 18.0% respectively.

The dollar capacity figures above are indicative only. They use the 30 June book and assume no other change to commitments, repayments or cancellations. Credit papers must always use the current exposure figures supplied by Portfolio Risk.

8. Monitoring and reporting

- Portfolio Risk recalculates utilisation against every limit at each month end and reports the result to the Risk Committee.
- Portfolio Risk notifies the Head of Portfolio Risk and the relevant deal team within two business days if any category reaches amber, including through repayments or cancellations that reduce book commitments.
- A category that falls into breach for reasons other than a new commitment, for example through a fall in book commitments, is reported to the Risk Committee at its next meeting with a remediation plan.
- Portfolio Risk keeps a register of all amber sign-offs and IC exceptions, including the transaction, the date, the approver and the pro forma utilisation shown in the paper.

9. Review

The Risk Committee reviews the limits at least annually, or earlier if the composition of the book changes materially. Changes to a limit take effect only on Risk Committee approval and are recorded in a new version of this note. Utilisation tables are refreshed each month in the portfolio report and in full on each new version.

10. Approval

Prepared by	Portfolio Risk, Quillwood Credit Partners
Reviewed by	Head of Portfolio Risk
Approved by	Risk Committee
Approval date	1 July 2026
Next review	1 July 2027

Sign-off